▼ VIEWPOINT

HIGH ALERT FOR INDIA'S ENERGY SECURITY

With much of India's oil and fertiliser supply choked at the Strait of Hormuz, we must take bold steps to ensure long-term energy independence



BY AMITABH KANT

Since Iran blocked the Strait of Hormuz at the end of February, India has been confronting the full cost of its dependence on imported energy, and the numbers are unsparing. India imports close to 90 per cent of its crude oil, standing at roughly five million barrels a day. In March, it lost around three million barrels a day of supply that previously moved through the Strait. A sustained surge in crude prices would likely weigh significantly on India's growth outlook. The finance ministry has already warned that its 7-7.4 per cent growth forecast for FY2027 faces considerable downside risk. Meanwhile, close to 30 per cent of India's fertiliser imports are also sourced from the Gulf region, meaning this is also a food security crisis waiting to develop. India must take bold and ambitious steps to accelerate its energy transition as a strategic necessity for long-term energy independence.

India must revise its renewable energy target from 500 GW to 1,500 GW by 2030. This is a security imperative. In 2025, China added over 400 GW of renewable power in a single year. India, on the other hand, added 56 GW in total. This gap reflects the absence of a sufficiently urgent national goal. A 1,500 GW commitment forces the kind of systemic acceleration that smaller targets allow governments to defer. It compresses a decade of transformation into five years.

India must also enhance infrastructure. Last year, over 50 GW of renewable capacity sat stranded because grid infrastructure could not transmit it. The renewables corridors of Gujarat, Rajasthan, Karnataka and Tamil Nadu need urgent transmission investment. Central procurement agencies must contract at least 150 GW annually. Renewable Purchase Obligations and Renewable Consumption Obligations should be aligned with this larger trajectory.

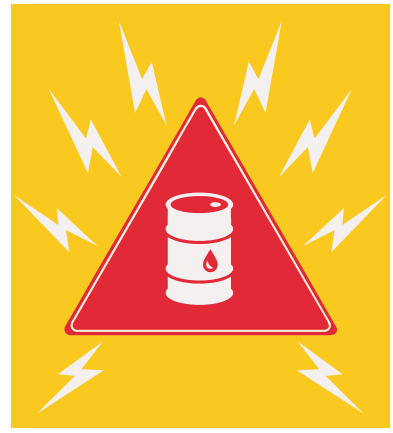


Illustration by RAJ VERMA

INDIA'S RENEWABLE ENERGY TARGET MUST NOW BE 1,500 GW BY 2030. THIS IS A MATTER OF NATIONAL SECURITY

Storage is equally non-negotiable. Every new renewable tender must mandate co-located battery storage. Pumped hydro, for which India has a geographic advantage, must be developed in mission mode. The Goods and Services Tax on storage assets should be reduced to 5 per cent, aligned with other renewable components. A grid without storage remains dependent on imported fuel economics.

Transport accounts for a substantial slice of India's oil consumption, and the road network is where it is possible to reduce it fastest. India must announce a clear transport electrification roadmap: full electrification of new bus procurement, full electrification of two-wheelers and three-wheelers by 2030, and the electrification of cars and trucks by 2035.

Next, India needs to secure its supply chain of critical minerals and prioritise midstream processing. China controls 70-90 per cent of the world's capacity for refining critical minerals needed for clean energy—lithium, cobalt, nickel, rare earths. The current crisis has, ironically, also disrupted petroleum coke supplies, a key feedstock for the synthetic graphite used in EV battery anodes. Escaping one chokepoint only to embed in another will end up being a substitution of risks. India must build domestic mineral processing capability, secure supply through strategic partnerships with resource-rich nations and invest in battery recycling as a long-term buffer. Energy sovereignty that depends on a single foreign supplier is not sovereignty at all.

Green hydrogen may be the most consequential long-term piece of this puzzle. Oil's stranglehold on India's economy runs deep in industry, shipping and fertiliser production. Green hydrogen, produced from domestic renewable power, can displace imported natural gas in fertiliser manufacturing, decarbonise hard-to-abate industrial sectors and reduce the petrochemical import bill. India's National Green Hydrogen Mission targets five million tonnes annually by 2030.

The only durable answer is to reduce the volume of energy that India needs to import at all: by building 1,500 GW of domestic renewable capacity, by electrifying transport at scale and by treating the entire clean energy supply chain, from mineral processing to battery manufacturing, as a matter of national security. ■

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